globalisation is not neutral to area, crop, and the individual. We will need a more focussed distributive kind of economic policies to do it.

(v) *Commitments towards the WTO:* Our agricultural subsidy cannot cross the 10 per cent mark of the agricultural GDP, any year. Though this is still not alarming, the higher subsidies forwarded by the USA and the EU is diluting the competitiveness of Indian agricultural goods—the 'Blue Box' and the 'Green Box' subsidies need redefinition immediately.

Conclusion: Visualising the emerging challenges to the agriculture sector of the developing countries, like-minded nations came together (G-22) and tried to go for a justified change in the provisions of the WTO—Seattle, Doha, Cancun, and Hong Kong. Agriculture was the most important issue because of which the important ministerial conference at Seattle failed. At the Hongkong conference in December 2005, an agreement on the withdrawal of agricultural subsidies by the Euro-American countries came as a help. The 7th WTO Ministerial meeting held in Geneva from November 30–December 3, 2009 provided for different groups and caucuses to access the direction of the negotiations.

Q. 17 'Hedge funds and black money in India's economy look intertwined'. Comment.

Ans. Hedge Funds are privately owned huge external funds with swift movement tendencies dedicated to minimise the financial risks of external investments. Every economy with high growth rate as well as a vibrant stock market is a possible destination for it. As per a recent IMF report, such funds together amount to over $1500 billion. Attractive foreign investment policies of the countries are the main reasons for their inflows, provided there is liberal outflow policies too.

In the case of India, these funds have been blamed to generate black money, by the experts. The government has also taken steps to reign them. The main instrument via which these funds look intertwined with the generation of black money in India has been the 'participatory notes' (PNs) through which a FII may invest into India's share/stock market without disclosing the source of the funds to the SEBI. Similarly, Overseas Derivative